

BOARD OF CBA

MINUTES (07.08.2012)

Refinancing Rate for August of 2012

**The 7th of August 2012 CBA Board Meeting attended by Deputy Chairman
Nerses Yeritsyan, and Board Members Ashot Mkrtychyan, Aharon Chilingaryan,
Oleg Aghasyan and Vakhtang Abrahamyan**

The Board Meeting opened with presentation of Situation Report as of end-July and addressed the current developments on inflation, external environment and real, fiscal and monetary sectors.

In July 1.5 percent of deflation was recorded, and the 12-month inflation went up to 2.3 pp, approaching the lower border of the confidence band. In July too, the deflation was totally due to seasonal fall in prices of food products (with 1.5 pp of contribution to headline inflation), whereas non-food product prices and service tariffs remained almost unchanged. A notable price decrease continued to be reported in item “vegetable and potato”, which was as much as 24.4 percent (with 1.5 pp of contribution). The 12-month core inflation remains closer to the target, and makes up 3.2 percent.

In the period January-June of 2012, relative to the previous reference period, the Economic Activity Indicator has been 7.8 percent. Based on the first six months’ results, growth of economic activity was again attributable to output volumes reported in industry, agriculture and services, which have increased by 13 percent, 8.1 percent and 5.5 percent, respectively. Construction further was on a declining trend (6.7 percent).

In the period January-June of 2012, relative to the previous reference period, external trade turnover indicators were as follows: export (trade statistics – FOB) and import (trade statistics – CIF) have increased by 13.5 percent and 6.7 percent, respectively. Private remittances of individuals have grown in the meantime by 8.1 percent y-o-y.

Based on the first six months’ results, private spending in the Armenian economy has been mostly consistent with the baseline scenario of the Monetary Policy Program, yet somewhat faster-than-expected growth rates in consumption and faster declining rates in private investment were reported. In the first half of the year the fiscal policy’s impact on aggregate demand has been neutral determined by contractionary impact of public expenditures and almost that much expansionary nature of revenues.

The developments in the financial market were as follows: with the 12-month inflation at quite a low level, the Central Bank left the Refinancing Rate unchanged in July too. The decision was taken also in consideration of monetary conditions which were already eased as a result of continued dram depreciation of 4 percent in June as well as a relatively high level of the 12-month core inflation. The financial market reacted to this by somewhat a steady level of interest rates. As a result, average interbank repo rate reached 10.4 percent, while market rate of treasury bills with up to 1-year of maturity was 9.1 percent, and interest rate of stock exchange-traded interbank loans, 9.2 percent.

In the foreign exchange market in July, the dram began to appreciate: relative to the previous month’s average, the dram appreciation versus the U.S. dollar was 0.5 percent

to AMD 412.6; appreciation versus Euro was 2.6 percent to AMD 506.7. Dram however depreciated versus Ruble by 0.8 percent to AMD 12.7.

In view of the said developments in the financial market, the monetary indicators in July performed as follows: the 12-month growth of broad money and dram broad money were 22.1 percent and 19.3 percent, respectively; in July the y-o-y growth of dram deposits and foreign currency deposits were 24.2 percent and 26 percent (or 12.1 percent when impact of the exchange rate is excluded). As a result, the dollarization of the economy has grown by 3.2 percent. Growth rates of lending to the economy remained strong in July (34.7 percent), in which structure loans in foreign currency again prevailed.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic environments as well as the monetary policy directions.

In July of 2012, international prices in main commodities markets showed minor deflationary and stabilization trends but somewhat an inflationary path in world food markets.

So, though the average price of “Brent” crude oil has grown by 7 percent in relation to the previous month, it was still at a lower level compared with the same period of the previous year (a decrease of 11.4 percent). In July the price of gold stayed roughly the same, dropping a mere 0.42 percent. The copper price in July grew by 2 percent (with a reported y-o-y decrease of 21.6 percent).

In July the Food Price Index of FAO rose by 6.2 percent against the previous month. It nevertheless is on a declining path, 8.0 percent, in relation to the previous reference period. There was as much as 25.0 percent rise in wheat prices in world markets in July due to expectations for reducing world wheat harvest because of dry weather in Russia, Kazakhstan and the U.S.A. The sugar and rice prices also reported increases in July, by 11 percent and 6.6 percent, respectively. On an annual basis however, the sugar and rice prices keep on a declining scale (22.7 percent and 6.5 percent, respectively).

In the reporting quarter the U.S. Federal Reserve Fund left the policy rate unchanged, in the range of 0-0.25 percent in consideration of moderately growing economy and inflation expectations anchored in a medium-term perspective.

Albeit the inflation indicator remains on a higher territory from the 2 percent target, the European Central Bank lowered the policy rate in July by 0.25 pp to set it at 0.75 pp.

The Board evaluated that world commodities markets anticipate minor deflationary and stabilization trends in view of slowly recovering world demand. There is however risk to possible inflationary environment in world wheat markets in anticipation of dry weather in Russia, Kazakhstan and the U.S.A, which can be a significant factor to contribute to the expanding of the inflation environment in Armenia.

Developments in the domestic economy were evaluated by the Board to be minor inflationary, owing to robust private consumption which is attributable to an existing low inflationary environment as well as persistently strong lending to the economy possibly to continue in the months ahead and result in added aggregate demand and creation of inflation potential.

In consideration of likely increase of inflation in the upcoming period from a lower level determined by impressive decline in prices of agricultural products in the second quarter of 2012, and the above-mentioned risks to expanding of the inflation environment, the

Board opted to withhold from changing the refinancing rate, under which circumstance the 12-month inflation will be within the confidence band of $4\% \pm 1.5$ pp.

In the 7th of August 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were set at 10.5 percent and 5.5 percent, respectively.